

# Veto

*The model may research. Veto decides.*

Alpaca AI Trading Agents Hackathon

[github.com/dancaldera/veto](https://github.com/dancaldera/veto)

[bszv8nabdvvipmbetdvtgv.streamlit.app](https://bszv8nabdvvipmbetdvtgv.streamlit.app)

Veto is a fail-closed Alpaca paper desk. An LLM can inspect, explain, and preview. It cannot size or send an order. Frozen rules authorize every fill. Stock entries carry a defined-risk options overlay. Crypto keeps an 8% fill-derived poll stop. Shadows never touch the broker.

## ■ AI logic

The language model is not the authorization layer. Closed daily bars produce a fresh SMA 10/30 signal. Same-day buys are ranked by cross strength, not alphabet. `check_entry` is the only path to a buy intent. MCP tools are `read`, `explain`, `collar preview`, and `dry-run scan/execute`. There is no `buy(symbol, qty)`. Regime and FinBERT news arms are declared shadows (`shadow_regime`, `shadow_regime_news`). They are not live this week; a fake news model would be a lie. When they run, they still cannot call `buy_limit` or `submit_collar`.

## ■ Risk gates (frozen)

- Account — \$100,000 start, no margin, paper endpoint hardcoded (PK keys only; AK rejected).
- Clip — \$625; max 8 names / \$5,000; crypto 4 / \$2,500; stock 6 / \$3,750.
- Correlation — reject at  $\geq 0.80$  with more than one holding (60 daily returns).
- Gap — skip if live price is  $>2\%$  (stock) or  $>3\%$  (crypto) past the signal close.
- Stop — 8% from ledger average entry, polled. Not a resting broker stop. Skip flatten if a collar put is live.
- Overlay — 1-lot put/call,  $\sim 8\%$  OTM,  $\sim 35$  DTE, max debit \$1,500, max 1 name. Else `options_skipped`, poll stop stays.
- Halt — unknown broker order, qty mismatch vs the fill ledger, or 5% high-water drawdown. New buys stop. Exits stay on.

## ■ Alpaca surface

Trading API: gap-capped limit buys, MLEG collar, closes; `paper=True` is not configurable. MCP: `get_account`, `get_positions`, `get_halt_status` (real halt reasons), `latest_decisions`, `explain_decision`, `preview_collar`; `scan_now` and `execute_pending` default `dry_run=true`. CLI: `veto scan`, `execute`, `preview-collar` (prints the Alpaca CLI string), `reconcile`, `stops`.

## ■ Paper-only

Competition account is \$100k, empty at init. Paper P&L is simulated. It is not live performance and not a forecast.

## ■ Prior research (not this week's P&L)

A 2022-01-01 → 2026-08-29 replay of this frozen SMA book returned +5.4% at the \$100k account vs +59% for a 25% stocks / 25% crypto / 50% cash benchmark. Win rate 29%. 47% of exits were 8% poll stops. See `docs/prior-research.md`. Veto does not pitch that tape as an edge. It pitches a desk that knows how to refuse.